GDP targeting as a superior framework for monetary policy. We cannot consider this possibility in India, given the state of GDP measurement.

For most people in the country, GDP measurement has little practical importance. There is one place where numerical estimates of GDP play a direct role: fiscal planning. In January, when the budget is made, numerical targets for tax collection and the borrowing of the government are calculated based on estimated GDP. When the statistical system overstates GDP, this leads to tax targets that are excessively high and a borrowing programme that is excessively large. This suggests a natural sequencing: A country should build trusted GDP estimates before it uses GDP values in fiscal planning.

Element 3: Building capability gradually

Our first objective should be to establish *easy* objectives for state capacity, and fully succeed in building this state capacity. Only after this is done should we try for a more complex problem. ‘Easy’ here is in the sense described in our treatment of what is easy and what is hard. Simple problems are those that involve a fewer number of transactions, less discretion, low stakes and less secrecy.

In the case of taxation, high tax rates kick off much greater attempts by private persons to avoid or evade taxes. It is much harder to build a tax system with high tax rates. Hence, it makes sense to first learn how to do tax administration at low tax rates. Only after a high compliance environment is achieved at low tax rates, can we examine the possibility of higher tax rates. If, on the other hand, we try to jump to high tax rates, this induces an ‘organizational rout’, a collapse of the tax administration into high rates of corruption and evasion.

Similarly, a simple single-rate GST is easier to implement, as opposed to a complex GST system with multiple rates. It would make sense to first build a single-rate GST, achieve a high compliance environment, and then examine the possibility of having multiple rates.